

I have to buy at a higher price. When I try to sell the position, the blasted software again beats me to it. I have to sell at 5 paise below what I would have liked to,' he said ruefully.

I was reminded of the days when market operators could control a stock at will once they had soaked up sufficient floating stock. They would play on the psyche of the smaller players and swing prices in such a way that at least eight times out of ten, the small fry would lose out. And now, sophisticated trading software programs were giving operators a dose of their own medicine.

'I now hand some money and shares from my portfolio to some of these FIIs that excel in algo trading; they generate a 12-14 per cent return for me annually. That is a far more peaceful way of making money than competing head on with those buggers and coming out bruised,' the operator said.

As he got up to refill his plate, I said, 'But my friends in the market tell me you can still move prices at will, as you used to back then.'

He paused, then wryly said, before walking away, 'Oh, do they? I don't want to disprove them. I can get business from promoters only if people think I am skilled at swinging prices even now.'

The rules of the game had completely changed in the last seven years. Through the late 1990s and until the early years of this century, when the market was still shallow, dealers at foreign broking houses and money managers at large fund houses were kings. And so were the market operators. All these players had access to information that mattered. But as the market grew bigger, the sphere of influence of each of these players shrank more and more. Yet, the hierarchy in the stock market food chain remained pretty much the same.

The jobbers who played for a spread of a few paise would be at the mercy of the traders who could hold their positions for an hour or two. They in turn were at the mercy of the bigger traders who could carry their positions over to the following day. Above them would be the traders (or retail investors, if you may) who had the capacity to hold positions for a month. They deferred to the market operators who could carry their positions for even longer and had crucial information at their fingertips. But the operators were no match for the FIIs, and the FIIs would be outsmarted by promoters who dabbled in their own stock. Not that promoters could sit comfortably at the top of the food chain; even they were helpless against changes in policy decided by powerful bureaucrats and ministers.